

This matter of whom you see (that it be the men who make the real decisions, rather than a sort of financial public relations officer) is so important that it is wise to go to considerable trouble to be introduced to management by the right people. An important customer or a major stockholding interest known to management can be an excellent source of introduction to pave the way for a first visit. So can the company's investment banking connections. In any event, those really want-ing to get optimum results from their first visit should make sure that those introducing them have a high regard for the visitor and pass the reasons for this good opinion on to the management.

Just a few weeks prior to my writing these words an incident occurred which may illustrate how much preparation I feel should be made prior to a first call on management. I was lunching with two representatives of a major investment firm, one which is the investment banker for two of the handful of companies in which the funds I man-age are invested. Knowing the small number of situations I go into and the long time I normally hold them, one of these gentlemen asked me the ratio between the new (to me) companies I visited and the ones of these into which I actually bought. I asked him to guess. He estimated I bought into one for every two hundred and fifty visited. The other gentleman ventured that it might be one for every twenty-five. Actually it runs somewhere between one to every two and one to every two and one-half! This is not because one out of every two and one-half companies I look at measures up to what I believe are my rather rigorous standards for purchase. If he had substituted "companies looked at" for "companies visited" perhaps one in forty or fifty might be about right. If he had substituted "companies considered as possibilities for investigation" (whether I actually investigated them or not) then the original estimate of one stock bought for every two hundred and fifty considered would be rather close to the mark. What he had overlooked was that I believe it so impossible to get much benefit from a plant visit until a great deal of pertinent "scuttlebutt" work has been done first, and that I have found that "scuttlebutt" so many times furnishes an accurate forecast of how well a company will measure up to my fifteen points, that usually by the time I am ready to visit the management there will be at least a fair chance that I will want to buy into the company. A great many of the less attractive situations will have been weeded out along the way.